BUSFIN 8200: Asset Pricing Foundations
Problem Set 2

October 21, 2026

Question 1

Question 2

2a)

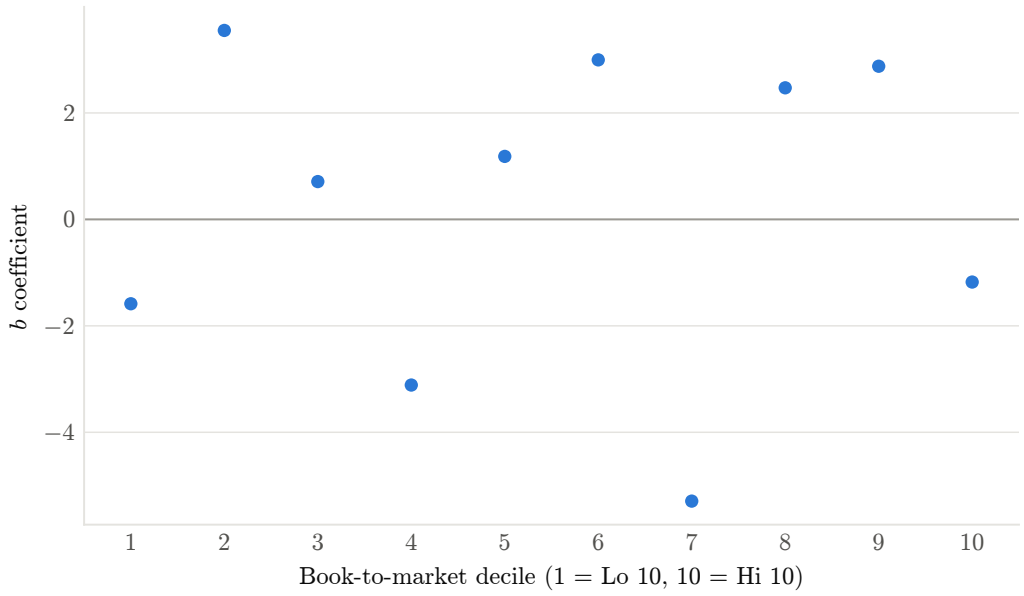


Figure 1: Coefficients b of the SDF $M_t^* = a - b'xR_t$ that prices the monthly excess returns of the 10 value-weighted book-to-market decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.

2b)

The sample (Pearson) correlation between the monthly SDF series $M^*_{\mathrm{BM},t}$ estimated in 2a) and $M^*_{\mathrm{MOM},t}$ estimated in 2b), over July 1927 to August 2026 ($T = 1190$ months), is

$$\widehat{\mathrm{Corr}}\left(M^*_{\mathrm{BM},t},\, M^*_{\mathrm{MOM},t}\right) = 0.355.$$

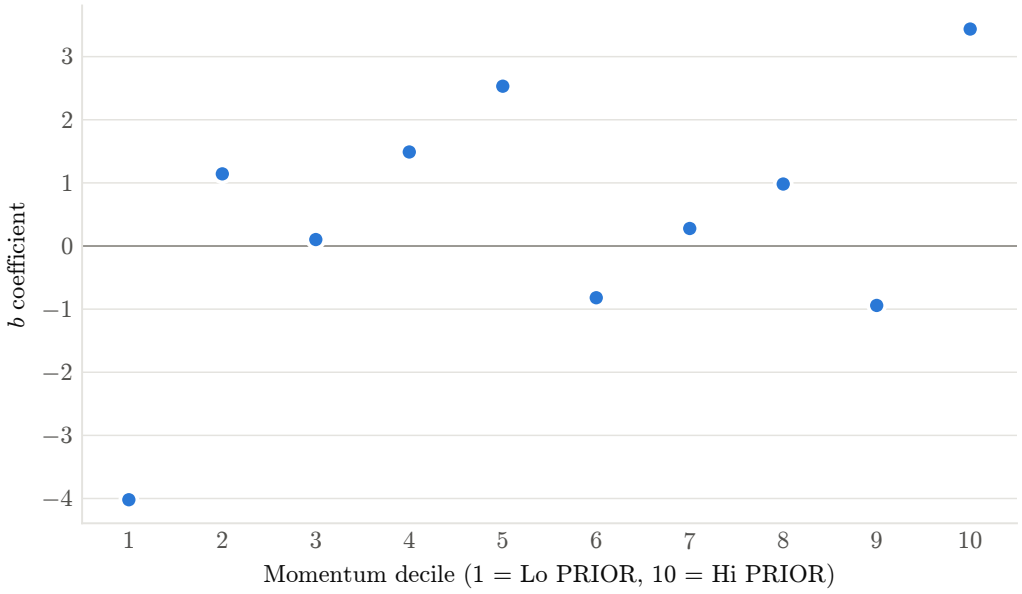


Figure 2: Coefficients b of the SDF $M_t^* = a - b' x R_t$ that prices the monthly excess returns of the 10 value-weighted momentum (prior 12–2 month return) decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.

2c)

Table 1: Monthly Sharpe ratios $\widehat{SR}(xR^*) = \widehat{\mathbb{E}}[xR_t^*]/\widehat{\sigma}(xR_t^*)$ of the portfolios $xR_t^* = b' x R_t$ implied by the SDFs of 2a)–2c), July 1927 to August 2026 ($T = 1190$ months). Not annualized.

SDF	Test assets	$\widehat{SR}(xR^*)$
2a)	10 book-to-market deciles	0.192
2b)	10 momentum deciles	0.258
2c)	20 book-to-market and momentum deciles	0.305

Question 3

Question 4

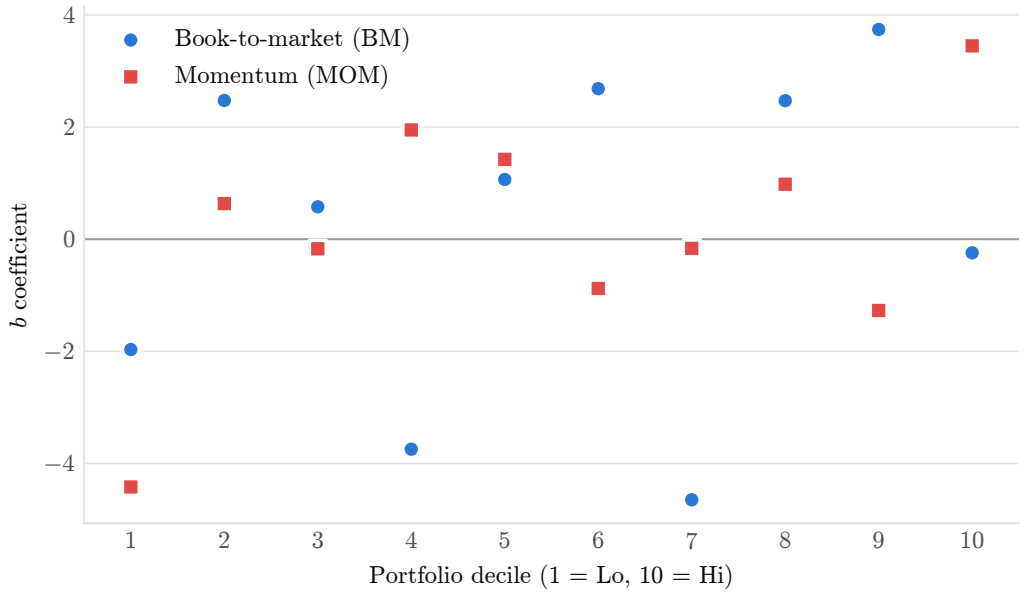


Figure 3: Coefficients b of the SDF $M_t^* = a - b'xR_t$ that prices the monthly excess returns of the 20 value-weighted portfolios in the merge of the book-to-market (blue circles) and momentum (red squares) decile portfolios (July 1927 to August 2026), under the normalization $\widehat{\mathbb{E}}[M^*] = 1$. Excess returns are in decimal units.